

LCD display ecosystem assessment

Strengths

- Huge consumption demand
- End use product manufacturing through OEMs and EMSes exists
- Favourable incentives for panel manufacturing available under MSIPs

Challenges

- Ecosystem does not prevail
- Inverted duty structure
- Debilitating FTAs with Thailand, Japan, etc
- Infrastructural challenges

Recommendations

- Relocation of a brownfield Gen 5 fab
- Preferential excise duty for panel manufacturing; tax rebates
- Hike in import duty of finished display imports
- Fund to encourage local technology development

Source: IESA-Frost & Sullivan

Major contributors to this report

- Arindam Bhattacharya, senior partner and director, Bruce Henderson Institute, Boston Consulting Group
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India. There are issues like delayed payment cycles, maintenance of machines and overheads. "There is lack of support in terms of infrastructure, administrative policies, good R&D and a lot more," Malakar added.

Malakar's insights remain relevant even today. Echoing a similar thought, Jayan Nambodiri, proprietor, Royal Display, adds, "LCD panels manufacturing will not be a successful business in India as the ecosystem is not present. Most of the raw materials need to be imported. In terms of growth, we feel the demand at the industrial level has grown by a mere five per cent and we are not expecting much competition in near future, even after panel manufacturing starts in India."

He further highlighted that small-scale players who ventured into LCD modules manufacturing in India have either closed down or shifted their focus. "Presence of low-cost Chinese displays makes it really hard for Indian manufacturers to compete with the import duty in its current form," adds Nambodiri.

Dedhia says, "We do not have any plans to set up any plant in India although we have had a few offers. We will wait and watch." However, he is positive about the development of the industry in view of recent government initiatives.

Other challenges include the

existing duty structure that makes importing a cheaper option for displays. Nambodiri opines, "Domestic manufacturing can grow only if raw material duty is brought down to zero and government gives some tax relief for this segment."

The way ahead

Given the high-volume demand anticipated in the various products that consume displays, it becomes pertinent to grow the ecosystem for LCD displays locally. So what could be the way out or, to put it in another way, is there a way out?

In a column in *Financial Express* titled 'Making Make in India happen,' Arindam Bhattacharya, senior partner and director, Bruce Henderson Institute, Boston Consulting Group, opines that, to attract global investments in some investment-intensive sectors like those in the high-end of electronics value chain, India must offer a package of incentives. The column noted, "Investment in investment-intensive high-end of the electronics value-chain is very lumpy and made for a decade of future demand or longer, given the high-investment intensity. And thus, these follow a cycle of large investment, which takes a long time to pay off as demand slowly catches up, and rates can vary from country to country." Therefore it is important

to approach these large anchor client investors with specifically-designed incentive packages, which are based on an in-depth understanding of the economics of the investment and the investment cycle of the firm."

Other than this, it is important to give domestic manufacturers some sort of protection, either in terms of market assurance (like it is being done in the case of LED lighting products through preferential market access policy) or in terms of trade barriers making importing a costlier affair. However, with very little manufacturing activities taking place, imposing a high import duty will be counterproductive for other industries using LCD panels as components in absence of local supply.

Also, India being a key member of World Trade Organisation, and having already signed FTAs with many countries, it will be difficult to impose high enough tariffs that will force fab manufacturers to set up plants in India if they want to cater to the market. But with India trying to increase manufacturing activity in the monitors, TVs and mobile phones market, this seems unlikely. It poses a Catch 22 problem.

So India might take the middle path of increasing assembling activities and gradually increasing value-addition. Moreover, indigenous LCD panel manufacturers are expected to face the challenge of competing against some of the established global manufacturers. However, a local presence would give others a competitive edge in many fronts. Towards increasing domestic manufacturing, announcement from Sterilite is a welcome move. ●